

borrower and what contract terms are sufficient. Importantly, credit delegation terms can be mediated by a smart contract. Alternatively, the delegated liquidity can be given to a smart contract that can use the liquidity to accomplish its intended function. The underlying benefit of credit delegation is that all loans in Aave are ultimately backed by collateral, regardless of whose collateral it is.

For example, a supplier may have a balance of 40,000 DAI in Aave earning interest. The supplier wants to increase their expected return via an unsecured delegation of their collateral to a trusted counterparty. The supplier likely knows the counterparty through an off-chain relationship – perhaps a banking client. The counterparty can proceed to borrow, for instance, 100 ETH with the commitment to repay the asset to the supplier plus an agreed on interest payment. The practical impact is that the external relationship is unsecured because no collateral is available to enforce payment; the relationship is based essentially on trust.

In summary, Aave offers several innovations beyond the lending products offered by Compound and other competitors. Aave's flash loans, although not unique among competitors, provide additional yield to investors, making them a compelling mechanism to provide liquidity. These utilities also attract to the platform arbitrageurs and other applications that require flash liquidity for their use cases. Stable borrow rates are a key innovation, and Aave is the only platform currently with this offering. This feature could be